- Your rate of return per year.

We have discussed beta. Time is not worth discussing; it is immutable. So how can you boost your rate of return? We've seen fund managers consistently beat their indexes—outperforming their beta—over a period of 20 years by as much as 100 percent per year. Assuming he was in the right place, the right market, the right beta, this extra performance would give him a spectacular advantage. This is what we call "beta plus."

After displaying so much apparent contempt for it, we're a little embarrassed to be offering alpha-hunting advice. But for our money, we prefer a very old-fashioned, deep-value approach.

One of our partners has $375 million in his family office investment pool. He's beaten the market by an average of 5.32 percent per year by using a strict value approach to investing. His approach is very simple. He buys companies, not stocks.

Companies are real businesses with real assets and real cash flows. Stocks are claims on a piece of those assets and cash flows. They are *not* just blips on a computer screen. Those assets and cash flows have a value. So the stock also has a value. *And that value is almost always different to the traded stock price on a given day*. Underlying *value* doesn't change much or often. But the traded stock *price* changes every day, and often by a large amount. The secret to successful value investing is to buy stocks when the *price* is significantly below the *value*.

In this sense, short-term stock price volatility is your friend, not your enemy. When traded prices are well above value, you sell and move into better opportunities or cash. When prices are well below value, you buy the stock. No matter what happens to stock prices in the short run, if you buy below fair value, you should make healthy profits in the long run.

The key advantage that a family has is time. While others need to invest for a payoff of 5 or 10 years down the line, we can wait, even for generations, if need be. So we can take advantage of the "miracle" of compounding in a way others can't. We can wait for compounding to work its magic.

The secret to compounding is that, over time, even small incremental gains can produce huge results, with the biggest gains at the end.